

Let us assume:

Particulars	JAN' 24
Sales	3,00,000
Employee Expense	4,00,000
Customer Acquisition Cost	2,00,000
Other Expenses	3,00,000
Total Expenses	9,00,000
Profit/Loss	(6,00,000)

So, you spent 9 lakhs in total, and your income was three lacs. The remaining six lacs is the net shortfall, which will be consumed from the investor's capital.

This is the way you create a month-on-month detailed financial projection. Creating a yearly or quarterly financial projection will not be useful as you are a relatively new company. In that case, you won't be able to hold yourself accountable, nor would the projections be meaningful.

Once you have created this excel sheet, the next step is to explain the assumptions to calculate each number. Let's start with sales

You will have to explain how you arrived at the sales figure.

How will value and volume of item sold change over month?

What will be the volume increase in months 3 and 4 and so on?

Are you looking to launch new product?

Are you looking to enter new

F

ks